Journal Entry Testing Memo

Client	Meridian Capital Group, LLC
Fiscal Year End	—
Period	FY 2025 (January 1 – December 31, 2025)
Source Document	General Ledger Detail — FY2025 Export
Source File	meridian_gl_fy2025.csv
Source Context	Exported from Meridian ERP (QuickBooks Enterprise) on Jan 15, 2026
Reference	JET-2026-1023-201
Generated	23rd October 2026
Engagement Practitioner	Sarah M. Chen, CPA
Engagement Reviewer	James R. Whitfield, CPA, CIA
Report Status	Draft

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I. Scope

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Source ... General Ledger Detail — FY2025 Export (meridian_gl_fy2025.csv)
Period Tested ... FY 2025 (January 1 – December 31, 2025)
Total Journal Entries Tested ..................... 1,500
Tests Applied ..................................... 9
Data Quality Score ............................... 97%
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The automated journal entry testing procedures documented in this workpaper were performed on the General Ledger extract provided by management for the period under examination. These procedures are designed to identify potential data anomalies that may warrant further investigation by the engagement team. The analysis was performed with reference to the FASB Accounting Standards Codification and applicable professional auditing standards.

Proof Summary

Metric	Value
Data Completeness	97%
Column Confidence	95%
Tests Executed	9
Tests Clear	1
Items for Review	258

II. Methodology

The following automated tests were applied to the General Ledger extract in accordance with professional auditing standards (PCAOB AS 2401: Consideration of Fraud in a Financial Statement Audit, ISA 240: The Auditor's Responsibilities Relating to Fraud):

Test	Tier	Description
Unbalanced Entries	Structural	Identifies journal entries where total debits do not equal total credits.
Missing Fields	Structural	Flags entries missing critical fields (account, date, or amount).
Duplicate Entries	Structural	Detects entries with identical account, date, and amount combinations.
Round Dollar Amounts	Statistical	Flags entries with suspiciously round dollar amounts ($10K+).
Unusual Amounts	Statistical	Uses z-score analysis to identify statistically unusual amounts per account.
Benford's Law	Statistical	Tests first-digit distribution against Benford's Law expected frequencies.
Weekend Postings	Structural	Flags entries posted on Saturdays or Sundays, weighted by amount.
Month-End Clustering	Statistical	Detects unusual concentration of entries in last 3 days of month.
Holiday Postings	Advanced	Flags entries posted on US federal holidays (ISA 240 journal entry fraud risk indicator).

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Interpretive Context: The results presented herein reflect automated data analytics and are intended to support, not replace, professional judgment. Identified anomalies may indicate areas requiring additional inquiry but do not, in themselves, constitute evidence of error, fraud, or material misstatement. The engagement team should evaluate each flagged item in the context of the overall engagement risk assessment and perform corroborating procedures as deemed necessary under applicable professional standards.

III. Results Summary

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Composite Diagnostic Score ................. 18.4 / 100
Diagnostic Tier ..................... MODERATE (18/100)
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Diagnostic Score Scale: 0–10 = Low | 11–25 = Moderate | 26–50 = Elevated | 51–100 = High

Basis: automated flag density — auditor judgment required per ISA 315. The diagnostic tier is an indicator, not a risk assessment or a conclusion on internal control.

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Total Entries Flagged ............................ 258
Overall Flag Rate ............................... 17.2%
High Severity Flags ................................ 7
Medium Severity Flags ............................ 183
Low Severity Flags ................................ 68
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Test	Flagged	Rate	Severity
Month-End Clustering	156	10.4%	MEDIUM
Round Dollar Amounts	45	3.0%	LOW
Weekend Postings	23	1.5%	LOW
Missing Fields	12	0.8%	MEDIUM
Duplicate Entries	7	0.5%	MEDIUM
Unusual Amounts	8	0.5%	MEDIUM
Holiday Postings	4	0.3%	HIGH
Unbalanced Entries	3	0.2%	HIGH
Benford's Law	0	0.0%	LOW

IV. Key Findings

1. 3 unbalanced journal entries detected — debits do not equal credits

Suggested follow-up: Recalculate debit/credit totals from source documents for each unbalanced entry. If differences persist, examine whether the entry was part of an automated posting split across periods or cost centers. Document the recalculation and resolution.

2. 4 journal entries posted on US federal holidays (Thanksgiving, Christmas)

Suggested follow-up: For each holiday posting, obtain documentation supporting business necessity and confirm the entry received proper authorization and supervisory review per the client's journal entry policy (ISA 240 journal entry fraud risk indicator).

3. 156 entries clustered in last 3 days of month (10.4% flag rate)

A clustering rate above 8% in the final 3 business days of the month warrants inquiry into whether entries represent legitimate closing activity or potential period-end earnings management (ISA 240).

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Suggested follow-up: Compare month-end entry volume to prior-period closing patterns. If the current period shows a statistically significant increase in month-end activity, perform targeted testing on the incremental entries with particular focus on revenue recognition and expense accrual timing.

4. 12 entries with missing critical fields (account or date)

Suggested follow-up: Request the complete GL extract with all required fields populated. Trace affected entries to source documents to confirm the transactions are complete and properly recorded.

V. High Severity Entry Detail

Unbalanced Entries (3 flagged)

JE #	Date	Account	Debit	Credit	Difference	Description
JE-2025-0847	2025-03-15	4100 — Revenue	$125,000.00	$124,999.50	$0.50	Q1 revenue accrual adjustment
JE-2025-1203	2025-06-30	5200 — COGS	$87,432.00	$87,430.00	$2.00	Inventory write-down reclassification
JE-2025-1891	2025-11-28	6300 — Consulting	$45,000.00	$44,850.00	$150.00	Year-end consulting accrual

Obtain preparer explanation for each unbalanced entry. Confirm whether the difference represents a rounding policy or requires a correcting journal entry. Document resolution in the engagement file.

Holiday Postings (4 flagged)

JE #	Date	Account	Amount	Holiday	Description	Posted By
JE-2025-1756	2025-11-27	5100 — Salaries	$34,200.00	Thanksgiving Day	Payroll correction	M. Chen
JE-2025-1757	2025-11-27	2100 — AP	$12,500.00	Thanksgiving Day	Vendor payment reversal	M. Chen
JE-2025-1923	2025-12-25	4100 — Revenue	$78,900.00	Christmas Day	Revenue recognition adjustment	S. Patel
JE-2025-1924	2025-12-25	1200 — AR	$78,900.00	Christmas Day	AR reclassification	S. Patel

Cross-reference holiday entries to system access logs and the entity's authorized user list. Assess whether the posting time and user credentials are consistent with expected business operations. Escalate entries without valid business justification.

VI. Benford's Law Analysis

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Eligible Entries ............................... 1,420
MAD Score ...................................... 0.00412
Conformity Level ..................... Close Conformity
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First-digit distribution closely conforms to Benford's Law (MAD = 0.00412, below the Close Conformity threshold of 0.006). This is one indicator the engagement team may consider alongside other procedures when evaluating the population.

Digit	Expected	Actual	Deviation

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1	30.103%	29.850%	-0.253%
2	17.609%	17.920%	+0.311%
3	12.494%	12.480%	-0.014%
4	9.691%	9.780%	+0.089%
5	7.918%	8.010%	+0.092%
6	6.695%	6.720%	+0.025%
7	5.799%	5.890%	+0.091%
8	5.115%	5.180%	+0.065%
9	4.576%	4.170%	-0.406%

VII. Authoritative References

Body	Reference	Topic	Status
FASB	ASC 250-10	Accounting Changes and Error Corrections — Overall	Current
FASB	ASC 850-10	Related Party Disclosures — Overall	Current

VIII. Conclusion

Based on the automated journal entry testing procedures applied, the General Ledger extract returned MODERATE flag density across the automated tests. Flagged entries warrant focused review, particularly high-severity findings.

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